

contango due to the cost of hedging the position, as explained earlier (the main reasons being cost of storage and opportunity cost of capital, although for some markets seasonality is a large part of the explanation as well).

For natural gas, the contango is very large and for good reason. This particular commodity has a very low density, which makes storage extremely expensive. The method of hedging a short futures contract of natural gas would be in theory to buy it today, store it in huge domes or silos that are often located underground, and then deliver it against the contract upon expiry (or of course to just let it stay in the ground and take it up later on instead). As a futures trader, of course, you are not concerned with dealing with the actual physical commodity, but the hedging method is still theoretically valid for pricing and you need to understand why the term structure chart looks the way it does, and how it can work in your favour. The cost-of-carry hedging model applies mainly to commodities that can be stored and, for assets such as oil, this is the core driver of the term structure shape. For natural gas, with its highly complicated and nigh impossible storage situation, the curve is also in large part driven by the seasonal demand patterns for the underlying asset (Figure 2.7).

At the time of writing, the price difference in the May contract and the September 2012 contract is nearly 5%. The actual price by expiry is often quite stable while the futures contracts are traded much higher, depending on how far out they are. This means that the points on the term structure curve tend to slowly move down while they are moving left, which is where the profit opportunity lies; commodities with a sharp persistent contango trend strongly downwards and the money is on the short side of the game as long as the shape persists.

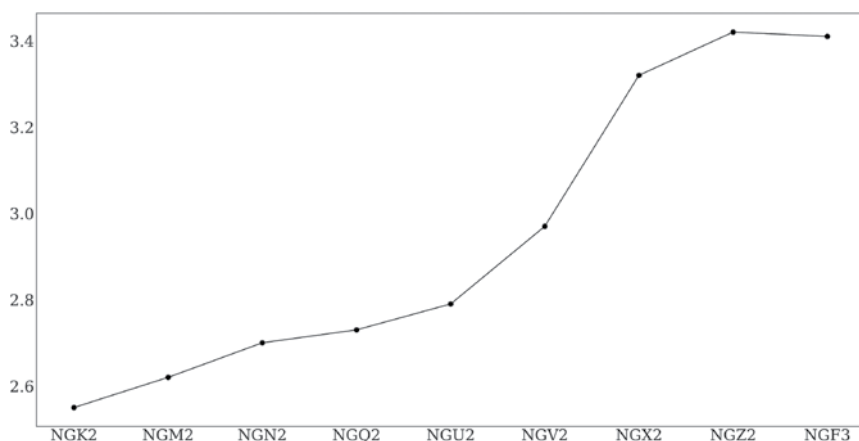


FIGURE 2.7 Term structure of natural gas.